

Bankers had gambled with trillions of dollars of investment on risky mortgages that might now be worthless. Panic set in, and banks stopped lending to one another. British bank Northern Rock faced a shortage of readily available cash, and was forced to ask the British government for an emergency loan.

Around the world, shares began to plummet. In September 2008, US mortgage lenders Fannie Mae and Freddie Mac were rescued by the American government, while Lehman Brothers, a powerful investment bank heavily involved in the subprime mortgages market, was forced to file for bankruptcy. The US government considered Lehman Brothers too insolvent and did not bail it out.

The turmoil in financial markets led to a severe economic downturn in most Western economies. Share prices plummeted, and world trade decreased because governments spent less. Ireland became the first European country to fall into recession, a period of economic decline. Iceland's government resigned in October 2008 after the country became almost bankrupt. Some governments—such as those in the US, China, Brazil, and Argentina—planned stimulus packages to

boost their economies. They increased government spending and decreased taxes. Others, especially in Europe, opted for austerity, freezing public spending, and increasing taxes. Protests and strikes swept through Europe in response to these measures. Portugal, Spain, and Greece came under pressure from the European Union (EU) to lower their debts. The EU spent billions propping up weak economies in an attempt to keep the Eurozone, and the euro, viable. But the effect of the economic crisis was devastating, and many people lost their homes and jobs. It was the worst economic downturn since World War II.

Post-war economy

After World War II, most of Europe, Japan, China, and the Soviet Union, all devastated by war, needed time to recover. The US, which had experienced a huge rise in manufacturing for the war effort and was spared destruction, continued manufacturing at higher levels than ever before and dominated the world economy. »

Lehman Brothers, an investment bank with a long history of trading, filed for bankruptcy on September 15, 2008, after getting involved in the failing subprime mortgage market.

